The world in brief

Catch up quickly on the global stories that matter

Photograph: Getty Images

Paramount, a film and TV giant, sweetened its offer for **Warner Bros Discovery** as part of attempts to derail a competing acquisition of Warner by Netflix, which values the former at $83bn. Paramount agreed to pay Warner's $2.8bn fee to terminate its rival bid from Netflix, along with $1.5bn in fees related to Warner's debt refinancing. Warner shareholders are set to vote on the offer from Netflix by April.

American forces struck a vessel suspected of carrying drugs in the Pacific Ocean, killing two people. At least 121 people have been killed in the Trump administration's campaign against what it says are seafaring drug traffickers. Separately, American troops captured a tanker transporting **Venezuelan oil** in the Indian Ocean. The Department of War accused the vessel of breaching the country's "quarantine" of crude exports from Venezuela.

McKinsey, a consulting giant, agreed to sell its investment arm, MIO Partners, to Neuberger Berman, a fund manager. The deal follows scandals related to conflicts of interest between Mckinsey's consultants and its investment office. In 2021 America's Securities and Exchange Commission fined MIO $18m, citing "compliance

failures". MIO manages around $20bn in assets for current and former McKinsey employees.

Shares in **Kering**, a Paris-listed luxury group, rose by 14% on signs that a restructuring launched by its new chief executive, Luca de Meo, is bearing fruit. Revenues in the fourth quarter fell by just 3%, better than analysts had expected. Sales at Gucci, its flagship brand, improved. Over the last three years the group's shares had plunged by more than half.

Air Canada cancelled all **flights** to **Cuba** after the Caribbean country said it would not be able to supply international airlines with aviation fuel. The Trump administration has enforced an oil blockade on the island, claiming its government is a threat to America. On Monday Claudia Sheinbaum, Mexico's president, accused America of trying to "strangle" Cuba and vowed to help the island through "diplomatic actions".

Botswana, a leading diamond producer, unveiled tax hikes to offset a sales slump and a budget deficit caused by the increasing popularity of cheaper lab-grown diamonds. The country's finance ministry wants to increase corporate taxes by 2.5 percentage points to 24.5%. A similar increase is also planned for Botswana's top rate of personal income tax, bringing it to 27.5%.

Organisers of the Milan-Cortina **Winter Olympics** launched an investigation into why their medals keep breaking. Several athletes said that the ribbons on their medals had detached from the gongs. Breezy Johnson, an American skier, warned recipients not to "jump in them", after hers came apart while jigging about in excitement at winning gold.

Figure of the day: 40m, the number of Spanish speakers in America, making it the fifth-biggest Hispanophone country in the world. Read the full story.

What's so special about Moltbook? Whose face appeared on a restored fresco in Rome? Test your knowledge of the week's events with our pint-sized news quiz.

Photograph: Reuters

How reliable are Argentina’s inflation figures?

Javier Milei’s biggest achievement as Argentina’s president has been getting runaway price rises under control. Monthly inflation has stayed below 3% since April, down from 25.5% in December 2023, when he took office. He wants to go further, vowing to get the rate below 1% this year. But data due on Tuesday will probably show that this target remains some way off. The government reckons monthly inflation in January was 2.5%, only a smidge below December’s figure.

Uncertainty about the data’s reliability adds an extra challenge. Last week the head of Argentina’s statistics agency resigned. He did not say why. But his departure followed the government’s decision to delay implementing a new methodology for calculating inflation, which could produce a slightly higher rate than the current one. Analysts will be watching the gap between the official figures and private-sector estimates. Previous Argentine governments have been known to fiddle with their statistics. Investors will need reassurance that Mr Milei is not doing the same.

Past his peak

Argentina, consumer prices, % increase on a month earlier

Source: Haver Analytics

Photograph: Getty Images

All hands on deck

Europe's shipbuilding industry surrendered post-war dominance decades ago when yards in Asia, especially South Korea and China, began churning out container vessels, bulk carriers and tankers much more cheaply. The European Union's shipyards have clung on by making more specialist vessels such as ice-breakers, ferries and vessels to service offshore windfarms, as well as some cruise ships and superyachts.

As part of a wider "Made in Europe" initiative, on Tuesday the EU will announce measures to keep the continent's shipbuilders busy. Instead of fixating on price, governments may be encouraged to purchase local vessels that use the latest green tech to meet the industry's decarbonisation targets. Private buyers will get more help with financing from the European Investment Bank. These mild incentives may keep shipbuilders above the water line, but it is unlikely to keep the local supply chain afloat in the long term.

Photograph: AP

Make elections restrictive again?

On Tuesday two congressional committees will discuss the Make Elections Great Again Act and the Safeguard American Voter Eligibility Act. Both would require Americans to show proof of citizenship to register to vote, among other restrictions. The documentation requirement alone could dampen voter turnout. Almost a tenth of Americans of voting age say they would not be able to produce proof of citizenship quickly if needed.

Republicans claim that the bills will restore trust and integrity to American elections. They do not lack for the latter—voter fraud is extremely rare. Trust, however, is a problem, thanks in no small part to Donald Trump. The president claims, without evidence, that the 2020 election was stolen from him. Recently his administration raided an election office in Georgia looking for proof, and has demanded voter rolls from states. He is now calling for his party to “nationalise” some of the voting. The constitution explicitly gives power over elections to the states, but Mr Trump need not rewrite American democracy to damage it.

Photograph: Getty Images

Britain’s prime minister fights to keep his job

Sir Keir Starmer’s government steadied itself in the midst of a crisis. On Monday Anas Sarwar, the leader of the Labour Party in Scotland, called for Britain’s prime minister to resign. That followed the recent exits of Morgan McSweeney, Sir Keir’s chief of staff, and Tim Allan, the director of communications, as well as a weekend of speculation about the prime minister’s future. Sir Keir received some respite on Monday evening, however, as he held a successful meeting with the parliamentary Labour party, in which he insisted he would not quit. He has received statements of support from Angela Rayner and Ed Miliband, two potential successors.

Can Sir Keir keep going? The crisis started with revelations that Peter Mandelson, a former Labour grandee whom he appointed Britain’s ambassador to America, had been in extensive contact with Jeffrey Epstein, a dead sex offender, after Epstein’s conviction in 2008. Lord Mandelson had shared confidential government memos, as well as crude comments that alluded to Epstein’s sexual offending. Lord Mandelson was fired, but questions about Sir Keir’s judgment remain. Labour is polling dreadfully, at 21%, according to *The Economist*’s tracker. If Sir Keir hangs on, he faces an enormous test in May: Labour is on track for heavy losses at elections to local government in England and regional governments in Wales and Scotland.

Photograph: Getty Images

A British oil giant turns American

BP unveils its full-year results on Tuesday. Investors expect that low oil prices will deal a blow to the British oil giant's profitability. Chevron and ExxonMobil, its bigger American rivals, have already reported declining fourth-quarter profits compared with the same quarter a year earlier.

The more discerning traders will also look for signs of further Americanisation of Britain's erstwhile national champion. Unlike transatlantic rivals, which resisted pressure to go green, BP made ill-judged investments to brand itself "Beyond Petroleum". These flopped, and in January BP revealed a $5bn write-down of low-carbon assets and more investment into hydrocarbons. That came on the heels of appointing Meg O'Neill, a bluntly pro-oil former Exxon executive, as chief executive. BP already gets more of its global operating profits from America than even Exxon. Also, given that investors are willing to pay more for each forecast dollar of future earnings from its American peers than from BP, look for hints that the new boss may move its listing from London to New York.

Illustration: Sandra Navarro

Daily quiz

We will serve you a new question each weekday. On Friday your challenge is to give us all five answers and tell us the theme. Email your responses (and your home city and country) by 1700 GMT on Friday to . We'll pick three winners at random and crown them on Saturday.

Tuesday: Which American prison was home to both Al Capone and Machine Gun Kelly?

Monday: In which Hans Christian Andersen tale does the main character turn out to be a swan?

The two most common elements in the world are hydrogen and stupidity.

Arthur Miller